

For purposes of illustration, the following global equity allocation and a U.S. fixed-income allocation are used:

- Global equity = 70 percent S&P 500 index, 15 percent Pacific index, 15 percent Europe index
- Bonds = 50 percent Barclays Intermediate-Term Treasury Index and 50 percent Barclays Intermediate-Term Credit Index

[Figure 4-5](#) illustrates the difference in risk-and-return characteristics between a two-asset-class portfolio and a multi-asset-class portfolio. The two-asset-class portfolio holds U.S. stocks and Treasuries, and the multi-asset-class portfolio consists of the global equity mix and the fixed-income mix given earlier.

[Table 4-3](#) quantifies the increase in percent return and decrease in risk from using a multi-asset-class approach during 1973 to 2009. Over that period of time, the return of the multi-asset-class portfolio at 50 percent stock and 50 percent bond portfolio was increased by 0.4 percent annualized over using only Treasury bonds and U.S. stocks. A multi-asset portfolio of only 40 percent stocks provided higher returns and lower risk than a 50 percent U.S. stock and T-note portfolio. Adding three more asset classes to U.S. stocks and T-notes pushed the efficient frontier line toward the desirable northwest quadrant.

FIGURE 4-5

Multi-Asset-Class Portfolio versus Two-Asset-Class Portfolio, 1973–2009